

REPORT OF THE

THEMATIC COMMITTEE

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THEMATIC COMMITTEE ON INDIGENISATION AND EMPOWERMENT ON THE IMPACT OF YOUTH EMPOWERMENT BANK ON YOUTH PROJECTS.

Presented To Parliament in 2026

S.C 69, 2025

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ORDERS OF APPOINTMENT

On Wednesday 02 October 2024, Madam President announced that the Committee on Standing Rules and Orders had appointed the following Members to serve on the Thematic Committee on Indigenisation and Empowerment.

Hon. Sen. Bimha M., Hon. Sen. Chakabuda M., Hon. Sen. Chitsamba J., Hon. Sen. Kabondo T., Hon. Sen. Kunaka T. Hon. Sen. Makamba J. C., Hon. Sen. Moyo S., Hon. Sen. Ndlovu C., Hon. Sen. Ncube D. M., Hon. Sen. Chief Nechombo, Hon. Sen. Sibanda L., Hon. Sen. Tongogara A. K., Hon. Sen. Zvidzai S.

Hon. Sen. Mdhluri M. to be the Chairperson.

TERMS OF REFERENCE OF THEMATIC COMMITTEES

STANDING ORDER NO. 20

Subject to these Standing Orders, a Thematic Committee must examine government policies which fall under or relate to the designated theme or themes and other matter falling under their jurisdiction as the Committee on Standing Rules and Orders may determine.

1.0 Introduction

Section 20 (1) (c) of the Constitution of Zimbabwe provides that the State and all institutions and agencies of government at every level must take reasonable measures, including affirmative action programmes to ensure that youths, are afforded opportunities for employment and other avenues to economic empowerment. Section 12 (1) (b) of the Indigenisation and Empowerment Act (Chapter 14:33), further provides for the establishment of the National Indigenisation and Economic Empowerment Fund (NIEEF) to provide finance for business start-ups, rehabilitation and expansion among other objectives. According to the 2022 census, there are 5.4 million youth in Zimbabwe, where 2.2 million have been classified as 'Not in Education, Employment or Training' (NEET). This calls for the need to have targeted youth empowerment initiatives, hence, the establishment of the Youth Empower Bank. In this regard, the Youth

Empowerment Bank was established in 2018 as an instrument to implement these policies and address youth unemployment and economically empower the youths throughout the country.

In view of this background and eager to establish the impact of the Youth Empower Bank on youth empowerment through project funding, the Thematic Committee on Indigenisation and Empowerment resolved to undertake an inquiry on the impact of the Youth Empowerment Bank on youth empowerment and came up with consolidated findings, observations and recommendations.

2.0 Objectives of the inquiry:

2.1 To appreciate the operations of the Youth Empowerment Bank;

2.2 To assess the impact of funding to the beneficiaries;

2.3 To identify the challenges being faced by Empower Bank in carrying out its mandate and recommend action for improved service delivery.

3.0 Methodology

The Committee conducted oral evidence sessions with the Youth Empower Bank and the Ministry of Youth Empowerment and Vocational Training on the youth economic empowerment project funding as well as policies guiding the empowerment initiatives. The Committee also embarked on a fact finding visit to identified projects within the country in order to establish the capacity and feasibility of the Youth Empower Bank in empowering youths. From the 3rd to the 8th of August, 2025, the Committee visited youth projects in Manicaland and Masvingo provinces namely Nyamuzinga Poultry Farm, Rusero Dairy Farm, Chipinge Youth Housing Scheme, Chiyaka Potato Farm and and Nyaradzo Mutande Piggery Project.

4.0 Committee Findings

4.1 Establishment and operations of Empower Bank

The Finance Director and Acting Chief Executive Director of Empower Bank, Mr. Mwerenga, submitted that the Youth Empower Bank was a government owned micro-finance institution licensed under the provisions of the Microfinance Act [Chapter 24:29]. The bank was established in 2018 with the primary objective of championing youth empowerment through financial inclusion, deriving its mandate from Section 15 of the Banking Act. In terms of capitalisation, the

bank was limited to the micro-finance bid, providing loans, savings accounts, international payments, remittances among other financial services. Whilst the bank was established for the benefit of youths, 30% was primarily reserved for the inclusion of other non-youth groups falling under marginalized communities such as women and persons with disabilities.

The Permanent Secretary for the Ministry of Youth Empowerment, Development and Vocational Training, Mr. Mhlanga indicated that the bank operated under the purview of the Ministry as a deposit taking micro-finance institution under the supervision of the Reserve Bank of Zimbabwe and was financed by the Government. The Acting Chief Executive Officer (CEO) of Empower Bank further informed the Committee that the Bank received an initial seed capital of USD2.5 million against a statutory requirement of USD 5 million.

Mr. Jabulani Nyakurerwa, the Marketing and Sales Manager for Empower Bank indicated that, the bank was present in five towns namely Mutare, Harare, Bulawayo, Gweru and Masvingo, where Gweru was operating under a sub-office. In addition, the bank was operating through agency network in Nyanga, Chipinge and other outlying areas within the country.

4.2 Capitalization mechanisms and loan interest rates

It was obtained that Empower Bank relied on government funding despite having devised initiatives like private partnerships for survival in the absence of sustainable funding. To sustain its operations, the Ministry indicated that it applied for a Prescribed Asset Status, which was granted and would assist the bank to have investment institutions such as pensions and insurance companies invest in their bank. The CEO further informed the Committee that the Bank was working with a major investment partner namely the Zimbabwe Agricultural Development Trust (ZADT). The Trust, which is a Non-Governmental Organisation, funds agricultural projects to Zimbabwean farmers using a nominal interest rate to enable farmers to obtain loans at an affordable interest rate. Interest rates ranged from 2.5% per month to 10% subject to the type of loan and duration of payment. For instance, loans ranging from USD 1000 and above attracted an interest rate of 2.5% per month for ZADT funded loans and 5% interest rate for loans below USD 1000. Loans obtained directly from the bank attracted an interest rate of 10% per month. The bank indicated that the funding from ZADT was distributed at a very low cost which enabled them to loan it out at an interest rate of 2.5% per month.

4.3 Non-performing loans

As indicated by the Permanent Secretary in the Ministry of Youth Empowerment, Development and Vocational Training, the Bank had a perennial hurdle of non-performing loans which reached its highest in 2023. The Committee was informed that some youth were promised monetary assistance by prospective politicians and ended up believing that Empower Bank loans were given out for free and ended up defaulting on repayments. In other instances, the bank indicated that some youth, instead of using the loans for projects, they used the money to travel to outside countries like South Africa or the United Kingdom and it became difficult for the bank to make follow ups and recover the loans. The bank's non-performing loans reached a peak of 48% but after using legal means to recover, it reduced to 7%. Of the visited projects, one project, the Mutande Piggery Project whose business broke down after litigation on a failed land deal was one potential project within the non-performing loans category. The bank had since devised ways to identify suitable beneficiaries by seeking assistance from councillors and traditional leaders to identify those who might pose as a flight risk. It was also giving out group loans so that the youth involved can co-guarantee each other and avoid defaulting.

4.4 Projects funded

The Empower Bank had supported a range of youth empowerment projects across Zimbabwe, mainly in agriculture, housing, agro-processing, micro-enterprises as well as dairy specialised vendors.

4.4.1 Housing and Infrastructure Development

The bank was in the process of supporting a youth Housing Scheme in Chipinge with a target of 3600 residential and commercial stands where youth are expected to contribute towards title surveys and purchase of stands. However, the project required capitalisation of approximately USD14.4 million for which the Bank indicated was extremely difficult to achieve considering the capitalisation level of the bank where most youths involved were unemployed whilst others did not have enough income to afford the minimum requirements.

4.4.2 Agricultural Projects

Agriculture constitutes the largest share of funded projects by Empower Bank with projects like sesame production in Mbire being among the beneficiaries. The bank also funded livestock production in Mbire, tobacco farming in Magunje and chilli farming in Chimanimani. In addition, an agro-processing business for women in Honde Valley was also assisted to purchase a banana drying equipment

In addition, the Bank ventured into agricultural mechanisation in partnership with the Ministry of Finance, Economic Development and Investment Promotion to assist youth to purchase tractors. Youth groups and vocational training centres benefitted from this scheme with 10 youth specialised in tobacco farming in Magunje benefitting through group funding. These youths were able to pay off their tractor loan after the first harvest.

4.4.3 Micro-Enterprise and Youth Livelihoods

The bank embarked on a nationwide funding of dairy vending cart scheme where the model allows youth to generate daily income with the intention of addressing urban unemployment and social challenges. However, the scheme was viable in urban areas due to the nature of the business and availability of Dairy Board depots within a given area.

Although the bank had supported many youths across the country, the Committee visited selected projects, as some of the previously funded initiatives were no longer in existence, having repaid their loans and become self-sustaining.

4.4.3.1 Nyamuzinga Poultry Project

The Committee visited Nyamuzinga Poultry Project in Mutare. Mr. Nyamuzinga, who operated a poultry layers project in Mutare peri-urban told the Committee that before being funded, his poultry project was struggling to grow. The youth started the project with 300 birds in 2019. In 2020, he was funded with a loan amounting to USD3 500 and managed to increase his birds to 500. By 2025, the youth had 4000 birds after receiving a loan amounting to USD10 000. Mr. Nyamuzinga indicated that he had been ploughing back the profits into his business in order to service the loan whilst growing his business to profitable margins. The youth anticipated further growth considering the high demand for eggs within the city and beyond the borders into Mozambique.

Mr. Nyamuzinga's project was situated on leased land, and he informed the Committee that there was limited room for expansion due to the small size of the premises. He also expressed concern over the risk of sudden eviction should the landowner decide to reclaim the property.

4.4.3.2 Rusero Dairy Project

The Youth Empower Bank assisted youth in dairy farming and the Committee visited Rusero Dairy cattle farming project in Mutasa District. Mr. Rusero indicated that his herd started off with 3 herds but after obtaining assistance in the form of a loan from Empower Bank, he was able to grow his herd from 3 to 16 dairy cattle. Mr. Rusero indicated that he initially got a loan amounting to USD800 which was then topped up with USD3 500. The youth told the Committee that milk production increased from 110 litres to 160 litres where the expectation was to reach 250 litres if provided with more funding. The Committee noted that, the dairy project was capital intensive and the youth required more funding in order to break even in terms of operational costs and reaching a minimum threshold in terms of dairy marketing requirements. However, the youth indicated that, the bank was failing to increase the loan from USD3 500 to at least USD4 500 in

order to allow him to meet the necessary costs and boost his dairy business. The Youth Empower Bank cited incapacitation in terms of funding to sustain such capital intensive projects like dairy farming.

The youth expressed concern over the limited size of the land on which his project is situated, noting that he had started operations on his parents' plot. He also indicated that milk production remained below the Dairy Services Unit minimum collection threshold of 250 litres, requiring him to transport the milk daily to the depot, particularly in the absence of reliable electricity for preservation.

4.4.3.3 Potato Farming Project

Stanford Chiyaka who operated a potato farming project in Masvingo told the Committee that he started off with one hectare of potato plant after receiving an initial loan of USD3 500 but generated USD14 700 from the first produce. By the time of the Committee's visit, the potato farmer had doubled tillage from 1 to 2 hectares.

The youth informed the Committee that his application for a USD12,500 loan was rejected, as the bank lacked capacity at the time. He also highlighted inadequate funding as a constraint, noting that he intended to purchase centre pivot irrigation equipment to mitigate winter frost and improve yields.

4.4.3.4 Chipinge Housing Scheme

The Chipinge Housing Scheme targeted youths selected through the Manicaland Youth Association, with beneficiaries recommended to Chipinge Council and subsequently assessed by Empower Bank for loan eligibility and repayment capacity.

Beneficiaries were required to have a stable source of income, failing which they would be disqualified, and any default in repayment would result in repossession of the allocated stand. By the time of the Committee's visit, 50 youths had benefited from the programme, with Empower Bank having disbursed USD10,000 towards the initiative, against a projected reach of approximately 3,600 beneficiaries.

Financially, beneficiaries were required to contribute USD260 for title survey fees and an initial USD50 towards stand acquisition, with the balance financed by the bank and repaid in four

monthly instalments at an interest rate of 5%. Additionally, land development costs were set at USD500, of which beneficiaries paid USD100 upfront, with the remainder provided as a loan repayable over six months under the same interest terms. The Committee noted that the housing scheme was skewed towards individuals who were already economically well positioned, as it did not constitute an income-generating project.

4.4.3.5 Mutande Piggery Project

Mutande Piggery project, owned by Nyaradzo Mutande received funding from the Youth Empower Bank. However, by the time of the Committee's visit, it was no longer in full operation as it was scaling down to pave way for the new land owner as the project owner was facing eviction from the premises.

Mr. Tonderai Mutande, the brother of the project owner, was overseeing operations and informed the Committee that the project had previously thrived, with a stock of 68 pigs. However, due to land disputes, the owner was in the process of slaughtering and selling the pigs.

The Committee was further informed that Ms. Nyaradzo Mutande had two remaining monthly instalments on her loan, which she was servicing from an alternative source of income. She was not present during the visit, as she was reportedly sitting for an examination. It was also indicated that she was in the process of relocating the project to another site believed to have been legally acquired.

Nyaradzo Mutande made a written submission to the Committee where she further informed the Committee that she had made some infrastructure improvements on the premise where she was being evicted. She had drilled a borehole, constructed a fowl run with a carrying capacity of 5,000 birds, fenced the project land, and built a two-roomed house. The piggery project initially started with four pigs and grew to 65, but was later downsized due to land disputes. The Committee observed that the project had declined significantly, with the site largely deserted and only a few visibly underfed pigs remaining in a dilapidated pigsty.

4.4.3.6 Impact of Funding on Communities

Projects funded by Empower Bank had a positive impact on the communities in which they were located. For instance, the Chiyaka Potato Farm and Mutande Piggery projects created both permanent and seasonal employment opportunities, while also assisting youths to desist from drug and substance abuse. Mr. Rusero informed the Committee that he was able to hire one permanent youth employee, a young person who had previously struggled with drug and substance abuse but has turned his life around due to his new occupation and change in daily routine;

In her submission, Miss Mutande indicated that the project carried opportunities for other youths where it employed more than five permanent workers and up to 20 seasonal workers.

Furthermore, Mr. Rusero and Mr. Chiyaka informed the Committee that they regularly hosted skills-sharing workshops at their project sites to inspire emerging entrepreneurs. At the peak of Miss Mutande's project, she supported the education of children with disabilities, provided care and home-based experiences for orphaned children, and contributed to mental health initiatives.

4.5 Loan Repayment:

Whilst there were no indications of difficulties in loan repayments from the projects visited by the Committee except for Nyaradzo Mutande Piggery which was facing eviction, both the Ministry and the bank noted with concern some of the major hurdles faced in the past. For instance, the Permanent Secretary indicated that the bank faced challenges with youth who received loans with a perceived intention of starting a business but ended up as a flight risk as some relocate to regional countries like South Africa without any form of trace. Of all the projects visited by the Committee, the beneficiaries indicated that they did not face problems in paying back their loans even though some of their projects were not growing to their expectations.

However, the bank indicated that it was important for beneficiaries to repay their loans in the shortest period of time as the tenure of their loans was up to 12 months with prospects of topping up if one is found to be eligible. In addition, the bank bemoaned the delays in disbursement of allocated funds by the Treasury as this led to failure to fund the targeted 70% of youth projects

4.6 Gender Balance

The bank indicated that gender balance in terms of loan disbursements to beneficiaries was almost even as it stood at 48% female and 52% male.

5.0 Challenges faced by the bank

The Committee noted that, despite notable success stories within funded projects, there were systemic hurdles experienced by the bank as follows;

5.1 Non-performing loans

The Bank carried the mandate of maintaining its non-performing loan book in order abide with the Reserve Bank of Zimbabwe regulations and maintain its operations. Of the visited projects, one projects, the Mutande Piggery Project whose business broke down after litigation on a failed land deal was one potential project within the non-performing loans. The bank had since devised ways to identify potential beneficiaries by seeking assistance from councillors and traditional leaders to identify youth who are not a flight risk after receiving loans. It was also giving out group loans so that the youth involved can co-guarantee each other. Despite such measures, non-performing loans remained a challenge though kept at a minimal rate of below 10%

5.2 Funding Constraints:

The bank faced inadequate Treasury capitalization leading to limited loan sizes towards capital intensive project such as Chiyaka Potato and Rusero Dairy projects.

5.3. Limited Outreach:

Physical presence in only 5 towns and cities namely, Masvingo, Gweru, Harare, Bulawayo and Mutare, hampered access for remote rural youth, especially NIEETs (Not in Education, Employment, or Training) category

5.4 Challenges faced by Beneficiaries

5.4.1 Land Insecurity Projects such as Nyamuzinga and Chiyaka operated on leased land, leading to threats of evictions and disruption of project growth leading to failure to pay up loans.

The Mutande Piggery project faced eviction as the land was obtained illegally. The project owner lost all land improvements that were made at the project site while facing loan repayment.

5.4.2 Infrastructure Gaps: As shared with the Committee by Mr. Rusero, his Dairy project required a stable electricity supply in order to preserve milk. However, the erratic electricity supply meant extra costs on a daily basis to transport milk to the Dairy so that it would be well preserved and maintain its value.

Failure to purchase adequate irrigation equipment for use during winter reduced Mr. Chiyaka's yield.

5.4.3 Collateral Requirements: The issue of collateral security on issuance of loan stood as a barrier to unemployed youth and excluded asset-poor youth from accessing loans. This stood out explicitly on the Chipinge Housing project where the bank indicated that absence source of income stood out as a barrier to accessing loans and failure to pay back led to repossession of the stand.

5.4.4 Interest Rate Pressures: Youth who borrowed loans below USD 1000 attracted an interest rate of 10% per month which the Committee noted was too high for one to sustain a business. Subsequently, it was noted that Chipinge Housing Scheme had High upfront fees of USD 260 for title survey which in turn was prohibitive to low-income youth. The 10% interest rate also applied on this category, which potentially made it expensive for youth to purchase the residential stands using Empower Bank Loans.

5.4.5 Milk Collection Thresholds: Rusero Dairy faced operational challenges which made them to face daily operational costs of delivering milk to the dairy unless they met Dairy Board's 250-litre minimum collection threshold.

6.0 Observations

6.1 In view of these submissions obtained from both the Bank and the responsible Ministry, the Committee noted that, the Youth Empowerment Bank's mandate was to address youth unemployment and economic exclusion by providing accessible financial support, training and resources to youth entrepreneurs through;

i) Offering loans to youth-led projects especially those excluded from traditional banking due to lack of collateral or formal income;

ii) Promoting job creation, skills transfer and community driven growth through agriculture, housing and small enterprises;

iii) Maintaining a near balanced gender ratio, which stood at 48% women to 52% men among beneficiaries at the time of the visit; and

iv) Thriving to reach out to all major cities across the country including marginalized rural areas despite fiscal constraints;

6.2. Treasury was failing to adequately capitalise the Youth Empower Bank which in turn strained the Bank in terms of carrying its mandate;

6.3. Interest rates varied significantly depending on loan size and source, with direct loans from the bank attracting higher rates (10% per month);

6.4 The highest loan disbursements were from partnerships with ZADT for agricultural financing and Ministry of Finance, Economic Development and Investment Promotion for agricultural mechanisation, potentially due to lack of adequate Treasury funding;

6.5 Projects created employment opportunities and provided training, contributing to socio-economic development;

6.6 Some projects suffered from sustainability issues due to external factors like land ownership conflicts and inadequate funding for expansion;

6.7 In view of the youth population in the country, the Empower Bank was incapacitated to reach out to a significant number of youth in the category of NIEET. Whilst the bank was well established in five towns and cities namely, Harare, Bulawayo, Mutare, Masvingo and Gweru, it had limited outreach given the number of towns within the country;

6.8. Projects were limited to farming seemingly due to inadequacy of funding for other projects like retailing, manufacturing and mining among others.

7.0 Recommendations

- The Ministry of Finance, Economic Development and Investment Promotion should allocate a once-off Capital Budget to Empower Bank in order to adequately finance the capital base and boost operations in the 2027 Budget.
- The Ministry of Youth Empowerment, Development and Vocational Training should partner with the Ministry of Lands, Agriculture, Fisheries, Water and Rural Development to secure land for youth projects as a youth empowerment strategy by 31 December, 2026;
- The Bank should develop collateral alternatives such as accepting project assets by August, 2026.
- The Ministry of Finance, Economic Development and Investment Promotion should consider transforming the Youth Empower Bank from a microfinance model to a development bank model where Treasury would put in more funding to meet the needs of the high level of unemployed youth by August, 2027

- The Ministry of Youth Empowerment, Development and Vocational Training should ensure that the Bank implements robust monitoring and evaluation frameworks to track project progress and identify early signs of distress by 31 December, 2026
- The Ministry, with assistance from the Bank, should come up with strategies to support projects such as Mutande's piggery project to secure new land and funding for infrastructure development and restoration of the project by December, 2026.

8.0 Conclusion

Faced with an estimated 2.2 million unemployed youths, the Government, through the Ministry of Youth Empowerment, Development and Vocational Training, has taken a significant step towards promoting youth empowerment by establishing the Youth Empowerment Bank. The Bank plays a pivotal role in supporting youths and marginalised groups through the provision of financial assistance and capacity-building initiatives.

Notwithstanding the notable successes recorded in various funded projects, the Bank continues to face considerable challenges, chiefly arising from inadequate capitalisation and operational funding constraints. Addressing these challenges through enhanced capitalisation, diversification of funding sources, improved loan structures, and targeted support mechanisms for youth-led projects will significantly strengthen the Bank's capacity to effectively discharge its mandate.